

Mark schemes

1.

Areas for discussion include:

- definitions/explanations: cyclical instability, economic cycle, policies
- explaining reasons why cyclical instability is damaging
- explaining the benefits of cyclical stability
- explaining how monetary policy can be used to reduce cyclical instability such as:
 - independent Bank of England
 - pre-emptive use of Bank Rate
 - forecasting and forward guidance
 - using quantitative easing when needed
- explaining how fiscal policy can be used to reduce cyclical instability such as:
 - automatic stabilisers
 - demand management policies
 - Keynesian multipliers
- explaining how supply-side policy can be used to reduce cyclical instability such as:
 - creating a flexible workforce that can adapt to changing demand conditions
 - creating the conditions suitable for investment to increase productive capacity
- explaining how financial regulation can be used to reduce cyclical instability such as:
 - use of regulators (FPC, PRA, FCA)
 - reduction of systemic risk by splitting investment and commercial banking activities
 - stress-testing of banks
 - use of reserve asset ratio's
- explaining how global shocks, such as a pandemic, may lead to unavoidable cyclical instability
- explaining how the appropriate response may depend upon the cause of the instability
- considering the effectiveness of each method with possible reference to historical aspects
- considering the issue that shocks are often unanticipated and whether the economy can cope with external changes
- considering the relative time-lags involved in carrying out different policies
- considering the view that 'stability is destabilising' and that some degree of instability can help economic agents avoid complacency.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21 – 25 marks
4	Sound, focused analysis and some supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16 – 20 marks
3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well-supported by arguments and/or data.	11 – 15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles to the given context and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes some evaluation which is weak and unsupported.	6 – 10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which is, at best, very weak - includes attempted analysis which is weak and unsupported.	1 – 5 marks

[25]

2.

In this part of the question, candidates will need to demonstrate that they are able to evaluate issues and arguments to support a conclusion if they are to be awarded **more than 15 marks**.

Level 5	Good analysis <u>and</u> good evaluation	22 to 25 marks <i>Mid-Point 24 marks</i>
Level 4	Good analysis <u>but</u> limited evaluation OR Reasonable analysis <u>and</u> reasonable evaluation	17 to 21 <i>Mid-Point 19 marks</i>
Level 3	Reasonable including some correct analysis <u>but</u> very limited evaluation	10 to 16 <i>Mid-Point 13 marks</i>
Level 2	Weak with some understanding	4 to 9 <i>Mid-Point 7 marks</i>
Level 1	Very weak	0 to 3 <i>Mid-Point 2 marks</i>

Introduction	• Budget deficit • Trade deficit • The Balance of Payments
Developing the response to the question: (application and analysis)	Arguments why a trade deficit is more damaging than a budget deficit: • Could indicate lack of productivity • Could cause depreciation of currency • Could cause problems for a country's reserves • A surplus on the financing section of the balance of payments increasing international indebtedness • Deflationary pressure • Could indicate structural weaknesses • Effects on jobs such as structural unemployment Arguments why a budget deficit is more damaging than a trade deficit: • Crowding out • Loss of credit status leading to increased costs of government borrowing • Future generations footing the bill (vertically inequitable) • Possibility of tax rises / cuts in spending • Adds to national debt • Could be inflationary
Evaluation	• Both issues are not mutually exclusive, an improved supply-side performance could help both. • The UK's ability to attract FDI will help finance the capital account and may off-set any problems on the trade deficit, however this may also benefit the UK's budget deficit in terms of job creation and generating tax revenue. • Deficits on both may be necessary and advantageous, they may both benefit living standards in terms of more goods being consumed or boosting AD. • Consideration that trade-offs may take place with the other macroeconomic goals, for example reducing the budget deficit may reduce the trade deficit but at the same time harm unemployment or create deflation. <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• Reference to the UK / other economies • Diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

3.

Explanation

For defining/explaining

- Budget deficit
- Government spending / Taxation
- Fiscal policy

Up to 2 marks per definition or explanation to a maximum of 4 marks

Award 1 mark for each step in a logical chain of reasoning

For example:

As an economy goes into recession **(1 mark)** there may be decreased investment **(1 mark)** as firms have spare capacity **(1 mark)** which will lead to reduced purchases of capital goods **(1 mark)** which reduces firms outputs **(1 mark)** and also creates a rise in unemployment **(1 mark)** as labour is in derived demand **(1 mark)** which increases government spending on JSA **(1 mark)** and also provides reduced revenue in the form of decreased income tax **(1 mark)** which may cause a fall in consumption **(1 mark)** which means fewer goods and services would be sold **(1 mark)** which reduces indirect tax revenue in the form of VAT **(1 mark)** and possibly firms profits reducing corporation tax **(1 mark)**.

Other examples include: Increased reliance on public services / social provision, discretionary government spending, increased cost of government borrowing due to loss of credit rating, nationalisation / re-nationalisation, economic shocks, fiscal mismanagement.

Up to 15 marks

Use of diagrams to help support explanations, AD/AS, trade cycle

Up to 2 marks per diagram (1 mark for labelling, 1 mark for correct information shown) to a maximum of 4 marks.

Reference to the UK and/or other economies.

1 mark per reference to a maximum of 2 marks

[15]

4.

In this part of the question, candidates will need to demonstrate that they are able to evaluate issues and arguments to support a conclusion if they are to be awarded **more than 15 marks**.

Level 5	Good analysis <u>and</u> good evaluation	22 to 25 marks <i>Mid-Point 24 marks</i>
Level 4	Good analysis <u>but</u> limited evaluation OR Reasonable analysis <u>and</u> reasonable evaluation	17 to 21 <i>Mid-Point 19 marks</i>
Level 3	Reasonable including some correct analysis <u>but</u> very limited evaluation	10 to 16 <i>Mid-Point 13 marks</i>
Level 2	Weak with some understanding	4 to 9 <i>Mid-Point 7 marks</i>
Level 1	Very weak	0 to 3 <i>Mid-Point 2 marks</i>

Introduction	- Public sector - The UK economy - Macroeconomic performance / living standards
Developing the response to the question: (application and analysis)	Arguments why a smaller public sector may benefit the UK economy: - Crowding-out arguments (both physical and financial) - The role of potentially lower taxes in affecting growth - The role of potentially lower taxes in supply-side policy - The role of potentially lower taxes on private sector employment and the willingness to work - The role of potentially lower taxes on FDI - Deficit reduction and debt repayment - Potential boosts to the private sector of reduced red-tape and effects on recruitment. Arguments why a smaller public sector may be damaging to the UK economy: - An absence of the “crowding in” effect - A lack of public sector employment and negative multiplier effects - Regional effects especially in places reliant upon high levels of public expenditure - The possibility that some unemployment could be structural in nature due to the nature of some public sector jobs - A lack of provision of public services - A lack of correction of market failures - Possible rising inequality.
Evaluation	- Effects may differ depending on income group and stakeholder group depending upon the focus of government policy - The global economy may have a much larger effect for example FDI may not be forthcoming due to global uncertainty - Effects may differ depending on the employment sector (some government spending may be “ring-fenced”) - Other factors which may be more important than the size of the public sector - The degree of requirement for the size of the government may vary with the trade cycle (alternatively it could be argued that this should be irrelevant to the trade cycle). <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	- Reference to the UK / other economies - Diagrams - An overall judgement on the issues raised

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

5.

In this part of the question, candidates will need to demonstrate that they are able to evaluate issues and arguments to support a conclusion if they are to be awarded **more than 15 marks**.

Where there is no **explicit** reference to the data, award a maximum of **21 marks**.

Level 5	Good analysis <u>and</u> good evaluation	22 to 25 marks <i>Mid-Point 24 marks</i>
Level 4	Good analysis <u>but</u> limited evaluation OR Reasonable analysis <u>and</u> reasonable evaluation	17 to 21 <i>Mid-Point 19 marks</i>
Level 3	Reasonable including some correct analysis <u>but</u> very limited evaluation	10 to 16 <i>Mid-Point 13 marks</i>
Level 2	Weak with some understanding	4 to 9 <i>Mid-Point 7 marks</i>
Level 1	Very weak	0 to 3 <i>Mid-Point 2 marks</i>

Introduction	• Unemployment • Demand-side / Supply-side • Types of unemployment
Developing the response to the question: (Application)	Drawing on the information in the extracts: • Labour market reforms (Extract E and Extract F) • EU possibly recovering (Extract E and Extract F) • Supply-side reforms (Extract E) • Effects on firms / workers (Extract E) • Comparisons with other EU countries (Extract E) • The current state of the UK labour market and wage growth (Extract F) • Subsidies / training / introduction of living wage (Extract F) • Benefits cap and limiting JSA (Extract F)
(Analysis)	Arguments as to why demand-side factors may cause further falls: • Rising real incomes in the UK • Increased confidence • Possible increases in domestic investment • Possible increases in FDI • Multiplier effects • Improved export opportunities (if the EU grows) Arguments as to why supply-side factors may cause further falls: • Consideration of the “voluntary” nature of some types of unemployment • Changes to incentives • Changes to benefits forcing people into low paid jobs • Consideration that living wage may actually entice more people into jobs market • So called “carrot and stick” approaches • Changes to structural unemployment • Improvements to mobility (occupational and geographical) • The UK’s experiences under the “Work Programme” and government policy • Focus on particular groups, such as the 16-24 age group or the long term unemployed.
Evaluation	• The UK could be approaching NRU / NAIRU / full capacity, the supply-side may be vital in order to gain further improvements • Both approaches are not mutually exclusive, improvements could be made on both at the same time • Some factors may be beyond the control of the UK, e.g. external demand in the EU, is trade a significant issue? • Consideration of regional aspects – unemployment rates mask a regional issue which is very difficult to solve with policies which aren’t targeted • Consideration that more jobs may be created but the incomes or conditions provided by those jobs maybe are not as good as others <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>

Also give credit for

- Reference to the UK / other economies
- Diagrams
- An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss issues not mentioned above.

[25]

6.

In this part of the question, candidates will need to demonstrate that they are able to evaluate issues and arguments to support a conclusion if they are to be awarded **more than 15 marks**.

Level 5	Good analysis <u>and</u> good evaluation	22 to 25 marks <i>Mid-Point 24 marks</i>
Level 4	Good analysis <u>but</u> limited evaluation OR Reasonable analysis <u>and</u> reasonable evaluation	17 to 21 <i>Mid-Point 19 marks</i>
Level 3	Reasonable including some correct analysis <u>but</u> very limited evaluation	10 to 16 <i>Mid-Point 13 marks</i>
Level 2	Weak with some understanding	4 to 9 <i>Mid-Point 7 marks</i>
Level 1	Very weak	0 to 3 <i>Mid-Point 2 marks</i>

Issues and areas for discussion include

Introduction	• Interest rates • Monetary policy • Economic growth (short-run and long-run)
Developing the response to the question: (application and analysis)	Beneficial effects of low interest rates: • Effects of low interest rates on savings, increased consumption and increased growth • Effects of low interest rates on tracker mortgages, increased disposable income and consumption increasing growth • Effects of low interest rates on credit, consumption and growth • Effects of low interest rates on firms and investment • Effects of low interest rates and its effects on currency and trade flows • Benefits to both short-run and long-run growth. Negative effects of low interest rates: • The effect on long-term investment and bank's willingness and ability to lend • The building up of personal debt and future problems • The potential damage that a rise in interest rates may have after such a sustained low rate • The effects on the housing market of inflated volumes of borrowing and other microeconomic arguments • Arguments regarding the long-term damage of sustained low rates. Other causes of economic growth: • Consideration of the other factors leading to economic growth such as fiscal / other monetary or supply-side policies or exogenous factors.
Evaluation	• The effects are difficult to quantify due to the economy never having experienced such persistent low rates • The fact that the bank rate is very different from lending and borrowing rates and therefore the private sector sets many of these rates • The effect of the credit crunch and confidence in determining the level of consumption and investment • The so called "liquidity-trap" (not in specification) and the ineffectiveness of interest rate as they reach low levels • The importance of other factors rather than interest rates in determining growth • Time-lags • Effectiveness of interest rates <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• Reference to the UK / other economies • Diagrams • An overall judgement on the issues raised

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

7.

D

[1]

8.

For defining / explaining

- Government spending by area
- Current / capital / transfers
- The budget or fiscal policy.

Up to 2 marks per definition or explanation to a maximum of 4 marks

Award 1 mark for each logical link in the chain of reasoning:

For example

As a method of redistributing income **(1 mark)** where taxation has been raised (allow 1 mark for taxation as a source for spending) enabling government to spend on means-tested **(1 mark)** such as housing benefit **(1 mark for examples)** or universal **(1 mark)** benefits such as the winter-fuel allowance **(1 mark)** which will reduce inequality **(1 mark)** by increasing the incomes of the poorest in society **(1 mark)** and correcting a potential market failure **(1 mark)**.

Other examples include: boosting AD, Keynesian multipliers, supply-side policy, influencing the pattern of economic activity through subsidies, provision of merit goods, public goods and correcting other market failures.

Up to 15 marks

Use of diagrams to help support explanations, e.g. AD increasing, LRAS increasing, trade cycle, correcting market failures (such as positive externalities in consumption) or subsidy.

Up to 2 marks per diagram (1 mark for labelling, 1 mark for correct information shown) to a maximum of 4 marks.

Reference to the UK and/or other economies.

1 mark per reference to a maximum of 2 marks

[15]

9.

A

[1]



10.

Areas for discussion include:

- definitions/explanations: burden of taxation, taxation, direct/indirect taxation, fiscal policy
- explaining the burden of taxation, expressed, for example, as a % of GDP
- describing the current forms of taxation used in the UK and recent changes
- explaining the principals of taxation such as equity
- giving examples of the various direct and indirect taxes
- identifying the differences between progressive, regressive and proportional tax
- the redistributive impact of direct and indirect taxation
- how falling direct taxes may:
 - incentivise work
 - reduce tax avoidance/evasion
 - influence consumption
 - influence investment
 - any other relevant point
- how rising indirect taxes may:
 - affect inflation
 - reduce consumption of demerit goods
 - affect SRAS
 - affect consumption decisions
 - affect wage demands
- evaluating the size of the shift
- evaluating empirical evidence
- evaluating the period of time over which the shift takes place
- policy myopia and political ideology affecting decisions
- the Laffer curve.

The use of relevant diagrams such as the Laffer curve to support the analysis should be taken into account when assessing the quality of the student's response to the question.

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21 – 25 marks
4	Sound, focused analysis and some supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16 – 20 marks
3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these are not well-supported by arguments and/or data.	11 – 15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles to the given context and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes some evaluation which is weak and unsupported.	6 – 10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which, at best, is very weak - includes attempted analysis which is weak and unsupported.	1 – 5 marks

11.

Relevant issues include:

- definitions/explanations: government spending, taxation, economic activity
- explaining the different forms of government spending such as capital/current /transfers
- explaining the levels of government spending
- explaining the reasons for government spending i.e. the redistribution of income and wealth, merit good provision etc.
- explaining how changes in government spending and taxation can influence aggregate demand both directly and indirectly
- explaining discretionary policy
- explaining automatic stabilisers
- explaining the effects of the economic cycle on government spending and taxation
- explaining how changes in government spending could change aggregate supply such as:
 - capital spending on infrastructure
 - training and education
 - subsidies/grants for research and development
 - subsidies/grants for investment
 - tax credits
 - assisted childcare and the effects on labour supply
 - any other relevant point
- multiplier and possible accelerator effects
- explaining the different types of taxation
- explaining how changes in taxation could change aggregate supply such as:
 - reducing income tax creating incentives to work
 - reducing corporation tax allowing firms to retain more profit for investment
 - reducing taxation, possibly making UK firms more competitive abroad and effects on supply
 - using taxation (tariffs) as a form of protectionism, aiding domestic supply
 - any other relevant point.

The use of relevant diagrams such as AD/AS, or labour market diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

Note: Unless a candidate considers both government expenditure and taxation, they are unlikely to have 'developed a selection of key issues that are relevant to the question' and therefore unlikely to achieve level 3.

Level of response	Response	Max 15 marks
3	A good response provides an answer that: - is well organised and develops a selection of the key issues that are relevant to the question - shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning.	11 – 15 marks
2	A reasonable response provides an answer that: - focuses on issues that are relevant to the question - shows satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places.	6 – 10 marks
1	A weak response provides an answer that: - has identified one or more relevant issues - has some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - has very limited application of relevant economic principles to the given context and/or data to the question - might have some limited analysis but it may lack focus and/or become confused.	1 – 5 marks

[15]

12.

Areas for discussion include:

- definitions/explanations: monetary policy, deflation, developed economies
- deflation and the different types (malign v benign)
- the effects of deflation
- the nature of developed economies and different experiences of deflation
- the role of interest rates and the transmission mechanism
- the effects of interest rates on investment, employment, saving and consumption
- the link between long-term saving and long-term investment
- the effectiveness of interest rates at very low levels including negative interest rates
- consideration of the MPC's role, primarily in targeting inflation but also in targeting growth
- consideration of differences in the two economies which may determine the effectiveness of monetary policy
- the use of quantitative easing and consideration of its success
- the possible role of the exchange rate in stimulating the economy
- the use of fiscal policy and fiscal stimulus
- considering how government debt may affect the ability to use fiscal policy
- considering how private-sector debt may influence the effectiveness of policies designed to combat deflation
- consideration of the potential conflicts in policy
- the significance of economic shocks and their impact on policies to tackle deflation.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21 – 25 marks
4	Sound, focused analysis and some supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16 – 20 marks
3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these are not well-supported by arguments and/or data.	11 – 15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles to the given context and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes some evaluation which is weak and unsupported.	6 – 10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which, at best, is very weak - includes attempted analysis which is weak and unsupported.	1 – 5 marks

**13.****Areas for discussion include:**

- definitions/explanations: the balance of payments, the current account, current account deficit
- explaining the difference between a surplus or deficit on current account
- explaining the composition of the current account of the balance of payments
- explaining the historical experience of the UK's current account
- explaining the causes of deficits
- explain possible measures to reduce the deficit such as:
 - exchange rate manipulation
 - changes in interest rates potentially affecting the exchange rate
 - expenditure-reducing policies
 - expenditure-switching policies
 - the role of protectionism
 - government role in export promotion/trade deals
 - the role of fiscal and monetary policy
 - supply-side improvements which might begin to provide a solution to the weakness, such as:
 - competitiveness/unit labour costs
 - investment (human and physical capital)
 - technology, R&D and productivity
 - infrastructure
- consideration of the UK's membership of the WTO and EU restricting its ability to use protectionism
- consideration of whether the deficit is a problem if the capital account is in surplus
- consideration of the impact on other macroeconomic goals of trying to reduce the deficit on the current account of the balance of payments.

The use of relevant diagrams such as AD/AS diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21 – 25 marks
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1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which, at best, is very weak - includes attempted analysis which is weak and unsupported.	1 – 5 marks

**14.****Areas for discussion include:**

- definitions/explanations: unemployment, macroeconomic policy, macroeconomic goals, trade-offs
- explaining the various causes/types of unemployment
- distinguishing between involuntary and voluntary unemployment
- explaining the different policy responses depending upon the nature of the unemployment
- explaining the effects of falling unemployment on:
 - inflation
 - economic growth
 - trade
 - other goals such as the budget deficit
- highlighting the UK's experience in reducing unemployment whilst maintaining stable inflation and a satisfactory balance of payments position
- the role of supply-side policies and productivity improvements in avoiding conflicts
- the effects of economic shocks on the economy and the difficulty of insulating against these
- the short-run Phillips curve
- government policies to reduce unemployment
- considering the relative success of recent government policies in the UK or other economies
- considering the position of the economy in terms of the proximity to the productive potential
- considering the position of the UK in terms of the economic cycle

The use of relevant diagrams such as the short-run Phillips curve and AD/AS diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21 – 25 marks
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3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these are not well-supported by arguments and/or data.	11 – 15 marks
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1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which, at best, is very weak - includes attempted analysis which is weak and unsupported.	1 – 5 marks

**15.****Areas for discussion include:**

- definitions/explanations: economic development, market-based strategies, interventionist strategies
- differences and links between economic growth and economic development
- examples of market-based strategies such as privatisation, deregulation, liberalisation of foreign trade, removing restrictions on international investment
- examples of interventionist strategies such as government spending on infrastructure, protectionist policies and government spending on health and education
- the pros and cons of market-based approaches to achieving development
- the pros and cons of interventionist approaches to achieving development
- difficulties in measuring development in terms of economic/human development
- the potential barriers that may hinder India's development
- analysis of the impact of development on formal employment/informal employment
- the progression from the primary sector to secondary sector employment
- whether growth and development are sustainable
- economic/social/political freedom arguments
- costs of development **and/or** growth and their impact on living standards
- the effectiveness of policies that might stimulate development
- protectionism as an aid to development
- the role of investment (domestic and foreign direct)
- key industries in development.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21 – 25 marks
4	Sound, focused analysis and some supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16 – 20 marks
3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these are not well-supported by arguments and/or data.	11 – 15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles to the given context and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes some evaluation which is weak and unsupported.	6 – 10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which, at best, is very weak - includes attempted analysis which is weak and unsupported.	1 – 5 marks

16.

Level of response	Response	Max 9 marks
3	- is well organised and develops one or more of the key issues that are relevant to the question - shows sound knowledge and understanding of relevant economic terminology, concepts and principles - includes good application of relevant economic principles and/or good use of data to support the response - includes well-focused analysis with a clear, logical chain of reasoning - includes a relevant diagram that will, at the top of this level, be accurate and used appropriately	7 – 9 marks
2	- includes one or more issues that are relevant to the question - shows reasonable knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles and/or data to the question - includes some reasonable analysis but it might not be adequately developed and may be confused in places - may include a relevant diagram	4 – 6 marks
1	- is very brief and/or lacks coherence - shows some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - demonstrates very limited ability to apply relevant economic principles and/or data to the question - may include some very limited analysis but the analysis lacks focus and/or becomes confused - may include a relevant diagram but the diagram is not used and/or is inaccurate in some respects.	1 – 3 marks

A micro diagram showing a rightward shift in supply is expected. The candidate could demonstrate the effects of increased exports, due to the subsidy, using an AD/AS diagram. Provided there is valid explanation, accept either a rightward shift in the SRAS or a rightward shift in AD.

Relevant issues include

- definitions/explanations: export subsidy, exports, trade, economic growth
- impact of an export subsidy on price, quantity, the volume and value of trade
- impact of an export subsidy on employment in particular industries
- linking trade to aggregate demand
- impact of export subsidies on investment
- linking export subsidies to both short-run and long-run economic growth

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19.

Relevant issues include:

- definitions: fiscal policy, government spending, taxation, supply-side policy
- explaining how government spending can help the supply-side through:
 - the provision of education and training
 - the provision of infrastructure
 - grants and subsidies for R+D and investment
 - increased spending on transportation to increase geographical mobility
 - industrial and regional policy
 - reduction of out-of-work welfare benefits to reduce the replacement ratio and increase labour supply
 - the use of in-work welfare benefits
- explaining how taxation can help the supply side through:
 - reducing corporation tax to encourage enterprise and FDI
 - reducing business rates to encourage investment
 - reducing income tax to encourage labour participation
 - altering income tax rates and thresholds to encourage labour participation
 - using reduced taxation, such as business rates, as part of regional policy.
- explaining how supply-side policies improve the quantity and quality of the factors of production
- explaining how supply-side policies can target both labour and product markets
- explaining how supply-side policies can be interventionist or market based

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

Level of response	Response	Max 15 marks
3	A good response provides an answer that: - is well organised and develops a selection of the key issues that are relevant to the question - shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning.	11 – 15 marks
2	A reasonable response provides an answer that: - focuses on issues that are relevant to the question - shows satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places.	6 – 10 marks
1	A weak response provides an answer that: - has identified one or more relevant issues - has some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - has very limited application of relevant economic principles to the given context and/or data to the question - might have some limited analysis but it may lack focus and/or become confused.	1 – 5 marks

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20.

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Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21 – 25 marks
4	Sound, focused analysis and some supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16 – 20 marks
3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well-supported by arguments and/or data.	11 – 15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes some evaluation which is weak and unsupported.	6 – 10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes analysis which is, at best, very weak - includes attempted evaluation which is weak and unsupported.	1 – 5 marks

Relevant issues and areas for discussion include:

- adequate housing as a basic human need, indicated by the mention of housing as a merit good in **Extract E**
- population growth, leading to more households, outstripping the growth in the UK's housing stock
- different methods of dealing with the problems experienced in the housing market, some of which involve more government spending on housing, eg relaxing planning controls, eliminating other impediments to private sector provision of more houses, making it easier for people to borrow, cutting SDLT, making it more expensive for people to buy and own a second home, discouraging housebuilders from sitting on building land, 'encouraging' local authorities to build more houses, subsidising housing associations, increasing 'housing benefits' paid to people on low incomes, rent controls, measures to encourage the provision of low-cost housing, encouraging innovation and improvements in productivity in the construction of houses
- an assessment of the pros and cons of some of the above
- the impact of more government spending on housing on the budget deficit and the national debt
- the significance of the type of government spending and whether it affects the 'current budget balance' or the overall budget balance, ie ceteris paribus, more capital spending will increase the overall budget deficit but not the current deficit
- the macroeconomic consequences of an increase in the budget deficit and national debt
- possible opportunity cost of an increase in government spending on housing, eg reduced spending on other programmes, higher taxes, crowding out of the private sector
- the case for more government borrowing for capital projects when government borrowing costs are low
- are there sufficient resources, eg construction workers, available to increase the number of houses built?
- increased spending on house building and short-run economic growth, including possible multiplier effects
- increased spending on house building and long-run economic growth
- market failure in the housing market and the possibility that state intervention may result in government failure
- the case for more state provision and ownership of the housing stock versus encouraging more private-sector provision
- should private-sector provision be encouraged by deregulation and relaxing planning controls or by the state giving financial support to the sector and/or homebuyers?
- are measures that make housing more affordable likely to help by encouraging private sector providers to build more homes or are they likely to just bid up house prices, adding to the problem?

Good answers are likely to present and evaluate arguments for and against the government increasing its spending on housing. They are also likely to discuss other methods of dealing with the problems of the UK housing market. The significance of and the impact on the macroeconomy of increasing spending on housing are likely to be considered, as well as possible microeconomic effects of specific policies identified. The response should include a supported recommendation which could be either for or against the government increasing its spending on housing. The recommendation might also include an alternative policy or set of policies.

The use of relevant diagrams to support analysis should be taken into account when assessing the quality of a student's response to the question.

An answer that does not include ANY evaluation must not be awarded more than 13 marks.

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Level of response	Response	Max 25 marks
Level 5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21 – 25 marks
Level 4	Sound, focused analysis and some supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16 – 20 marks
Level 3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well-supported by arguments and/or data.	11 – 15 marks
Level 2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes some evaluation which is weak and unsupported.	6 – 10 marks
Level 1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes analysis which is, at best, very weak - includes attempted evaluation which is weak and unsupported.	1 – 5 marks

**Relevant issues and areas for discussion include:**

- explanation of the NLW as a legal minimum wage for those over 25
- analysis of the impact of a minimum wage in competitive labour markets
- the significance of the wage elasticities of the demand and supply of labour for the impact on employment/unemployment
- factors which may affect the elasticities of demand and supply of labour
- analysis of the impact of a minimum wage in a labour market where employers have monopsony power
- possible impact of a minimum wage on aggregate demand, given the different propensities to consume of different income groups
- evidence of the impact of minimum wage controls on unemployment in the UK, and possibly in other countries
- the significance of new technologies (eg AI) and how they may impact on workers who are affected by a substantial increase in the NLW
- discussion of the impact of a substantial increase in the NLW on costs, prices, profits and competitiveness
- discussion of ways in which the NLW may affect productivity, offsetting the impact on costs and competitiveness
- the impact on inequality and living standards, perhaps making use of the evidence in **Extract D**
- discussion of whether a substantial increase in the NLW is an effective way to reduce poverty and inequality
- the impact on wage differentials and the implications for the economy
- relevant use of the data to support analysis and evaluation of arguments presented
- normative arguments relating to a substantial increase in the NLW
- impact on tax revenue and government spending on welfare
- discussion of whether the organisation should be promoting other policies to improve living standards rather than focusing its efforts on pushing for a substantial increase in the NLW
- weighing up the arguments on both sides before coming to a well-supported recommendation

Good answers are likely to include arguments both for and against a further substantial increase in the NLW and a well-supported recommendation which could be for or against a substantial increase in the NLW.

The use of relevant diagrams to support analysis should be taken into account when assessing the quality of a candidate's response to the question.

An answer that does not include any evaluation or a supported recommendation must not be awarded more than 13 marks.

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**25.****Areas for discussion include:**

- definitions/explanations: budget deficit, current account deficit, balance of payments, macroeconomic performance
- arguments why a budget deficit may need to be reduced:
 - it adds to national debt
 - it could cause crowding out
 - possible loss of credit status leading to increased costs of government borrowing
 - future generations facing rising tax rates
 - possibility of future cuts in spending on merit/public goods
 - it could be inflationary
- arguments why a current account deficit may need to be reduced:
 - it could indicate lack of productivity
 - it could cause depreciation of currency
 - possible risk of capital flight
 - it could cause problems for a country's reserves
 - a surplus on the financial section of the balance of payments increasing international indebtedness
 - deflationary pressure
 - it could indicate structural weaknesses
 - effects on jobs such as structural unemployment
- considering that both issues are not mutually exclusive, an improved supply-side performance could help both
- considering whether the budget deficit is cyclical or structural
- considering the components of the current account of the balance of payments
- considering the UK's ability to attract FDI will help finance the capital account and may off-set any problems on the trade deficit. However, this may also benefit the UK's budget deficit in terms of job creation and generating tax revenue
- deficits on both may be necessary and advantageous, they may both benefit living standards in terms of more goods being consumed or boosting AD
- considering that trade-offs may take place with the other macroeconomic goals

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21 – 25 marks
4	Sound, focused analysis and some supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16 – 20 marks
3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well-supported by arguments and/or data.	11 – 15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles to the given context and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes some evaluation which is weak and unsupported.	6 – 10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which is, at best, very weak - includes attempted analysis which is weak and unsupported.	1 – 5 marks